The UPI has already ventured into other economies viz. Singapore, Bhutan, the UAE, Nepal, Sri Lanka and Mauritius. The National Payments Corporation of India (NPCI) reported 117.6 billion UPI transactions worth Rs 182.25 lakh crore in 2023, up 59 per cent in terms of volume and 45 per cent in terms of value compared with 2022. According to the Reserve Bank of India (RBI), while India accounts for 46 per cent of all digital payments globally (as per 2022 data), nearly 80 per cent of e-transactions taking place domestically are via the UPI. But the penchant for cash remains intact, with its circulation at about 13 per cent of GDP, up from 8.7 per cent just after demonetisation, partly due to limitations in digital payments' accessibility, dispute resolution and rural outreach.

"The India Stack and public digital infrastructure have enhanced efficiencies in transactions and opened avenues to take services deeper into our society"

-ADITYA MALIK, *Member, BoG, Council for International Economic Understanding*

The RBI is now focused on two game-changing initiatives: the blockchain-based digital rupee and the Aadhaar-enabled Payment Service (AePS). A tool for financial inclusion, the AePS allows online banking services at a PoS (Point of Sale) through business correspondents using Aadhaar authentication. So, even as it eyes the global stage, the Modi regime is ensuring its towns and villages aren't left behind. ■

-Anilesh S. Mahajan

MISS DEMONETISATION

The Black Money Chase that Wasn't

A catalyst for digitisation of Indian economy aside, demonetisation failed to achieve its main objective, that is, curbing black money



M ZHAZO

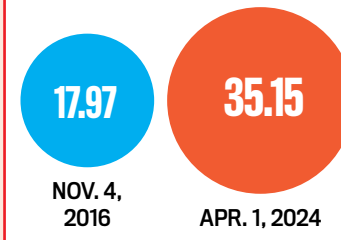
WHEN PRIME MINISTER NARENDRA MODI ANNOUNCED IN A LATE evening telecast on November 8, 2016, that all currency notes of Rs 500 and Rs 1,000 would be scrapped from that midnight onwards, it caught the entire country unawares. The action put 86 per cent of the total currency in circulation out of use. The three broad objectives, claimed the government, were to fight black money, corruption and terror, and added the digitisation of economy as a goal later on. The World Bank had estimated the size of India's shadow economy at 23 per cent in 2007, lending credence to the need to hunt black money.

Apart from the inconvenience it caused to the common man, the move led to widespread economic disruption. To be fair, digitisation of the economy did pick up with the advent of UPI. But this has not reduced the amount of currency in circulation (see *Cash Economy*). In fact, in August 2018 itself, the Reserve Bank of India (RBI) revealed that 99.3 per cent of the demonetised currency, totalling Rs 15.3 lakh crore, had returned to the banking system. This meant that either the government had grossly miscalculated the quantum of black money, or that most of the unaccounted money found its way back into the banking system. ■

-M.G. Arun

CASH IS STILL KING

Currency in circulation has doubled than what it was around the time of demonetisation



(Figures in Rs lakh crore)

Source: ceicdata.com

"The government's assumption and equation of black money with cash was wrong. Cash is just a small manifestation of black money"

–SUBHASH CHANDRA GARG, *Former Finance Secretary*